



Office of Public Affairs
U.S. Department of Justice



President of Insurance Brokerage Firm and CEO of Marketing Company Charged in \$161M Affordable Care Act Enrollment Fraud Scheme

Wednesday, February 19, 2025

For Immediate Release

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An indictment was unsealed today charging Cory Lloyd, 46, of Stuart, Florida, and Steven Strong, 42, of Mansfield, Texas, in connection with their alleged participation in a scheme to submit fraudulent enrollments to fully subsidized Affordable Care Act insurance plans (ACA plans) in order to obtain millions of dollars in commission payments from insurance companies.

ACA plans offer tax credits to eligible enrollees. These tax credits, or “subsidies,” could be paid by the federal government directly to insurance plans in the form of a payment toward the applicable monthly premium. According to court documents, Lloyd and Strong conspired to enroll consumers in ACA plans that were fully subsidized by the federal government by submitting false and fraudulent applications for individuals whose income did not meet the minimum requirements to be eligible for the subsidies. Lloyd allegedly received commission and other payments from an insurance company in exchange for enrolling consumers in the ACA plans. In turn, Lloyd allegedly paid commissions to Strong in exchange for consumer referrals.

As alleged in the indictment, Lloyd and Strong targeted vulnerable, low-income individuals experiencing homelessness, unemployment, and mental health and substance abuse disorders, and, through “street marketers” working on their behalf, sometimes offered bribes to induce those individuals to enroll in subsidized ACA plans. Marketers working for Strong’s company allegedly coached consumers on how to respond to application questions to maximize the subsidy amount and provided addresses and social security numbers that did not match the consumers purportedly applying. As a result of being enrolled in subsidized ACA plans for which they did not qualify, some of these consumers experienced disruptions in their medical care.

The indictment alleges that Lloyd and Strong used misleading sales scripts and other deceptive sales techniques to convince consumers to state that they would attempt to earn the minimum income necessary to qualify for a subsidized ACA plan, even when the consumer initially projected having no income. Lloyd and Strong also allegedly conspired to bypass the federal government's attempts to verify income and other information. Lloyd and Strong allegedly engaged in the scheme to maximize the commission payments they received from insurers, resulting in their companies' receiving millions of dollars in commissions.

As alleged in the indictment, Lloyd and Strong's scheme caused the federal government to pay at least \$161,900,000 in subsidies.

Cory Lloyd and Steven Strong are each charged with conspiracy to commit wire fraud, three counts of wire fraud, conspiracy to defraud the United States, and two counts of money laundering. If convicted, each faces a maximum penalty of 20 years in prison on each count of conspiracy to commit wire fraud and wire fraud, five years in prison for conspiracy to defraud the United States, and 10 years in prison for each count of money laundering.

Supervisory Official Antoinette T. Bacon of the Justice Department's Criminal Division, Acting Special Agent in Charge Justin Fleck of the FBI Miami Field Office, Acting Special Agent in Charge Isaac Bledsoe of the Department of Health and Human Services Office of Inspector General (HHS-OIG) Miami Regional Office, and Special Agent in Charge Emmanuel Gomez of the IRS Criminal Investigation (IRS-CI) Miami Field Office made the announcement.

The FBI, HHS-OIG, and IRS-CI are investigating the case.

Assistant Chief Jamie de Boer and Trial Attorney D. Keith Clouser of the Criminal Division's Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

An indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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